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Companies did not have a digital function 20 years ago. And today, you cannot imagine a business without digitalisation embedded in it. The same thing is happening to sustainability. Climate and sustainability are not only the biggest problems to be solved, but also the biggest opportunities available for the next 20 years,” says Anjali Bansal,

Founder of Avaana Capital, a climate-tech focussed early-stage venture capital (VC) firm.

She bases her investment thesis on the enormous opportunity that climate and sustainability presents and compares it to the opportunity created by the digital revolution. On this principle, the Mumbai-based VC firm is currently raising its second climate-tech focussed fund with a target corpus of \$150 million. VC firms such as Avaana Capital are among a growing tribe of dedicated early-stage climate tech focussed funds that are providing the missing piece of the puzzle of growth-capital requirements for the climate-tech ecosystem.

Climate tech as an attractive asset class for pure-play VC investors, and not as impact funding or ESG investment targets, has just begun to gather steam. Globally, climate tech start-ups raised a little under \$40 billion across 600+ deals in 2021, as per a report from Climate Tech VC, a climate tech research and publication outlet. According to PwC’s “State of Climate Tech 2021” report, climate tech accounts for 14 cents of every venture capital dollar.